

Statement of Work (SOW)

Project Title: IT Support and WCF Transformation Services

Customer: OST Office of Financial Management and Transit Benefits (M-70)

1. Introduction and Background

The Office of Financial Management and Transit Benefit Programs (M-70) within the Office of the Assistant Secretary for Administration (OASA) manages the Department of Transportation (DOT) Working Capital Fund (WCF).

Following the FY25 consolidation of IT resource management across 11 Operating Administrations (OAs), M-70 faces a critical need to modernize its financial architecture and service delivery models. With HR and Procurement functions slated for transition in FY27, this contract provides the strategic, technical, and change management expertise required to ensure the WCF remains a transparent, efficient, and scalable shared-service provider.

2. Type of Contract & Period of Performance

- **Contract Type:** Firm Fixed Price (FFP)
- **Period of Performance:** One (1) 12-month Base Period with four (4) 12-month Option Periods.

3. Task Requirements

Task Area 1: Program Management & Governance

The Contractor shall serve as the central Program Management Office (PMO) for all WCF transformation activities.

- **Strategic Planning:** Maintain a comprehensive Plan of Action and Milestones (POAM) that identifies critical path dependencies between IT, HR, and Procurement transitions.
- **Governance Support:** Facilitate WCF Steering Committee meetings, providing data-backed materials to support executive decision-making.
- **RAID Management:** Maintain a centralized Risks, Assumptions, Issues, and Dependencies (RAID) log, specifically highlighting risks to the FY27 expansion.

Task Area 2: Integrated Change Management & Communication

The Contractor shall execute an Omni-channel Change Management strategy to mitigate transition risks.

- **Change Readiness & Impact Analysis:** Conduct semi-annual "Pulse Checks" across all 11 OAs to identify process friction and cultural resistance.
- **Stakeholder Engagement:** Execute a tiered communication plan:
 - **Executive:** Monthly "State of the WCF" briefings.
 - **Operational:** Bi-weekly newsletters and technical bulletins.
 - **User-Level:** Infographics and "Day in the Life" transition guides.
- **Knowledge Management:** Develop and maintain a **WCF Resource Portal (SharePoint)** to house version-controlled SOPs, accounting manuals, and "Train-the-Trainer" video modules.

Task Area 3: IT Modernization & Enterprise Architecture

The Contractor shall provide the technical blueprint for a "future-ready" WCF ecosystem.

- **Modernization Roadmap:** Deliver a 24-month strategy for decommissioning legacy trackers and migrating to a cloud-native, multi-tenant financial architecture.
- **System Analysis & Requirements:** Draft Functional Requirements Documents (FRD) for an integrated financial dashboard that allows OAs to view real-time consumption data.
- **Data Normalization:** Develop a unified data taxonomy to ensure financial data from IT, HR, and Procurement can be aggregated for departmental reporting.

Task Area 4: Cost Allocation, Billing, and Financial Integration

Technical Requirements: WCF Automated Billing Integration

The Contractor shall design and implement a **Unified Billing Integration Layer (UBIL)** to automate the "Source-to-Settle" process for all WCF IT service lines.

1. Data Ingestion & Normalization

- **Multi-Source Connectors:** The system must ingest usage data from disparate technical sources, including:
 - **Cloud Consumption:** AWS/Azure/Google Cloud via API or CSV export.
 - **ITSM Data:** ServiceNow seat counts, ticket volumes, and asset inventories.
 - **Telecom/Network:** Monthly recurring charges (MRC) and usage-based data.
- **Schema Mapping:** Standardize all ingested data into a common WCF schema that maps technical units (e.g., "vCPU hours") to financial units (e.g., "Compute Service SKU").

2. The Billing Logic Engine

- **Rate Card Management:** Maintain a dynamic, version-controlled **WCF Service Catalog** within the engine to apply the correct "Fully Burdened Rates" based on the transaction date.
- **Tiered Allocation Logic:** Support complex allocation models, including:
 - **Fixed Costs:** Equal distribution across all 11 OAs.

- **Variable Costs:** Consumption-based billing based on validated usage logs.
- **Hybrid Costs:** Baseline subscription fee plus overage charges.

3. Delphi & G-Invoicing Integration

- **Interface Generation:** Automatically generate "Delphi-ready" flat files or API payloads for monthly obligation and expenditure processing.
- **7600A/B Automation:** Link billing outputs to specific Treasury **G-Invoicing** orders to ensure that every charge is backed by a valid Inter-Agency Agreement (IAA) and sufficient obligated balance.
- **Error Handling & Reconciliation:** Provide an exception report for any usage data that cannot be mapped to a valid fund code or OA project account.

4. Stakeholder Visualization (The "WCF Dashboard")

- **OA Self-Service Portal:** Provide a secure interface for OA Budget Officers to:
 - View real-time "Burn Rates" against their annual WCF estimates.
 - Drill down from a total bill to specific line-item usage (e.g., "Why did our storage cost increase by 10% this month?").
- **Executive Analytics:** Provide M-70 leadership with a **Net Operating Result (NOR)** dashboard to track the financial health of each business line.

The Contractor shall implement a transparent, audit-ready billing and cost-recovery framework.

- **Activity-Based Costing (ABC) Model:** Define a granular Service Catalog (e.g., cost per seat, per GB, per ticket) that ensures full cost recovery and eliminates cross-subsidization between OAs.
- **Automated Billing Integration:** Design the logic to automate data flows from technical systems (ServiceNow/Azure) into the **Delphi** system.
- **G-Invoicing Transition:** Ensure 100% compliance with Treasury G-Invoicing mandates, managing the lifecycle of 7600A/B forms.
- **Audit Readiness:** Review all billing methodologies against GAAP, FASAB, and FAR standards to ensure defensibility during OIG or GAO audits.

Task Area 5: Contract & Asset Transition Support

The Contractor shall manage the orderly transfer of modal IT contracts.

- **Master Contract Inventory:** Maintain a real-time dashboard of all contracts transitioning to OST Acquisition Services.
 - **Transition Execution:** Perform "Due Diligence" audits on transferring contract files to identify funding gaps or performance issues.
 - **Pathfinding:** Recommend the optimal transition path (Novation vs. Re-compete) for each major IT service contract.
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4. Deliverables Schedule

Deliverable	Frequency	Recipient
Comprehensive POAM	Within 30 days of award	COR / M-70 Director
Annual WCF Rate Study	Annually	M-70 Leadership
OA Change Impact Reports	Quarterly	OA Stakeholders
WCF Service Catalog (v1.0)	90 Days Post-Award	All Stakeholders
G-Invoicing Compliance Audit	Bi-Annually	M-70 Director
Modernization Blueprint	120 Days Post-Award	IT Stakeholders
Weekly/Monthly Activity Reports	Weekly/Monthly	COR

5. Performance Metrics (AQLs)

Metric	Acceptable Quality Level (AQL)	Monitoring Method
Financial Accuracy	99% accuracy in WCF billing files.	Monthly Audit
Deliverable Timeliness	100% of deliverables on/before due date.	POAM Tracking
User Adoption	85%+ positive sentiment in OA Pulse Surveys.	Survey Analysis
SOP Currency	100% of SOPs reviewed/updated annually.	SharePoint Audit

Key Improvement Summary:

1. **Consolidation:** Merged Task Areas 2, 3, 4, and 6 to remove redundancy and clarify that Change Management supports the Modernization effort.
2. **Compliance Focus:** Specifically added GAAP, FASAB, and FAR compliance to the billing and documentation tasks.
3. **Audit Readiness:** Introduced an "Annual Rate Study" to ensure the WCF rates are defensible and competitive.
4. **Actionable PMO:** Shifted PMO focus from "reporting" to "Strategic Planning" and "RAID Management."